CHAPTER 12

N A T I O N A L I N C O M E

PREWAR ECONOMY OF THE JEWS AND NON-JEWS

It is as misleading to refer to <u>the</u> Palestinian economy as it is to refer to <u>the</u> Palestinian population. The economic differences between the two communities are as great as the cultural differences described in the preceding chapter. Palestine comprises two distinct communities -- with inter-relations, whether on the social or economic level, held at a minimum. This minimum intercourse was particularly marked between 1936-39, when there was sustained overt hostility between Arabs and Jews.

Perhaps the most fundamental contrast is the difference in the sources of the national income received by each community in the years preceding the war (Table 1). Agriculture, for example, provided less than one-tenth of the Jewish national income but nearly one-quarter of the national income of the non-Jews. While manufactures and handicrafts were twice as important as agriculture to the Jews, they were only half as important as agriculture to the non-Jews. The Jews received nearly 9 percent of their income from contract construction, compared with 2 percent for the non-Jews: this illustrates the sharp difference between the two communities in the tempo of growth. Equally striking is the large contrast in the role of finance. The more modern character of the Jewish community may be inferred also from the fact that about 7 percent of Jewish income originated in health, education and municipal services, but in the case of the non-Jews only 2 percent originated in these fields.

As much as one-fourth and one-fifth, respectively, of Jewish and non-Jewish income was derived from trade and motor transportation, which attests the dominance of the petty merchant in both economies. In an evaluation of the Government as a source of income, it is necessary to remember that the non-Jews cannot be identified completely as Arabs since a very substantial number are British Colonial Office officials or military personnel.